JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
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MEMORANDUM

November 04, 2022 GM-2022-1104-0016

TO: **SUPPLY CHAIN MANAGEMENT DEPARTMENT**
GENERAL ACCOUNTING DEPARTMENT
ACCOUNTS PAYABLE / ACCOUNTS RECEIVABLE SECTION
PROCUREMENT SECTION

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/HRD/File**

Re: **POLICIES & PROCEDURES: JATHNIER CORPORATION STANDARD PROCESSING LEAD TIMES FOR MATERIAL REQUEST (MRS), PURCHASE REQUEST (PR), PURCHASE ORDER (PO) TO DELIVERY OF ORDERED ITEMS FROM SUPPLIER**

Moving forward to our corporate vision in business year 2022, herewith is the Jathnier Corporation Standard Corporate Policy on the processing lead times of Material Request Slip (MRS) and Purchase Request (PR), Purchase Order (PO) and delivery of ordered items. **This memorandum is in line with the Memo# GM-2022-1014-0012, issued October 14, 2022.**

INTERNAL CONTROLS

An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

Definitions:

1. **MATERIAL REQUEST SLIP (M.R.S.)** – Is a Rosebakeshop standard form usually used by its branches to order items such as Raw Materials, Packaging Materials, Baking Tools & Utensils, Equipment, Fixtures, and Branch Supplies & Forms. This type of items were Inventory Levels are maintained by the warehouse & property control.

2. **PURCHASE REQUEST (P.R.)** – Is a standard accountable form used by the company to document the intent of every department or authorized personnel to purchase any items considered by the company as asset to external vendor or supplier (e.g. materials, vehicles & equipment, tools & utensil, supplies, Forms, peripherals & other items considered as asset). Issuance of this form must follow the standard accomplishment of the PR form and its approval matrix (see latest memorandum on approval matrix). PR is the document for the Purchasing Section to execute standard procurement procedure going to the issuance of Purchase Order (PO). This standard form (PR) is also used by the Property Custodian and Warehouse In Charge, to request items for property & warehouse stock level replenishment following the Ordering & Re-ordering Point System.

3. **PURCHASE ORDER (P.O.)** – Is a standard accountable form used by the company as a source document used by the purchasing department to place an order with a vendor or supplier. In other words, this is the contract that a buyer drafts to purchase goods or items from a seller. Take notice on the word "Contract" it has a legal attribute that binds the transaction of the buyer and the seller. This PO is the document where the vendor or seller points its reference to prepare ordered items to be delivered and to establish the point of sale to the buyer through Delivery Invoice or Sales Invoice.

CORPORATE POLICY AND GUIDELINES ON MATERIAL REQUEST SLIP (MRS), PURCHASE REQUEST (PR), PURCHASE ORDER (PO) PROCESSING LEAD TIMES & UP TO SUPPLIER'S DELIVERY.

1. Material Request from branches follows the set schedule of the Branch Operations Department and the Supply Chain Management Department.

2. Warehouse In Charge & Property Custodian will review & update data on their Ordering & Re-ordering System in a **monthly basis (1st week of a month)**, to ensure stock inventory level are properly maintained and replenishment of such items are timely and accurate.

3. All Purchase Request (PR) made and with proper approval will be transmitted to Purchasing Section within **24 hours (manual), real time for Ordering System Automation.**

4. Upon receipt of the Purchase Request (PR) by the Purchasing Section, a **lead time of three (3) working days** is given to **execute Standard Procurement Procedures (Canvass, Negotiation, Set final terms & discounts, condition & approval, and Posting of Order to supplier).** Purchase Order will be issued only upon following the standard procurement procedure and finality of the specification, terms and conditions set forth on the PR with the vendor or supplier. **A weekly monitoring report on PR receipt against PO issuance.**

5. Upon posting of the Purchase Order (PO) and acknowledgement of the vendor or supplier. **A seven (7) working days standard lead time** will be followed from posting up to the actual delivery of the ordered items. Purchasing section must mark the copy of the PO **"POSTED"**, or return acknowledged copy from supplier.

6. **A total of ten (10) working days lead time**, from receipt of Purchase Request (PR), Procurement procedure to issuance of Purchase Order (PO), until the actual delivery of the vendor or supplier of the ordered items (Sales Invoice/Delivery Invoice).

7. **The following reasons considered exception in regard to this policy:**
    a. During procurement procedure where affixing the signature of the approving officer is impractical due to uncontrolled circumstances. (For high value items). An alternative means must be made to attest approval of such transaction. (Email or Text message).
    b. Supplier or Vendor experienced source, change of specification and logistical challenges beyond their control that will cause changes on the procurement agreement & extension of their delivery lead time. **A formal letter or recorded transcript of such status must be made.**
    c. When there is a technical problem in our ERP system, and efforts are made to shift to manual procedure that affects the transmission lead time of the transaction.

Deviation of these is considered an infraction under the Company Code of Discipline. Strict compliance is required for this Policies & Guidelines and this will officially take effect on **November 15, 2022**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
GM/RBS-JC

Noted:

Melina G. Comedido
VP/Operations Director-JC